**BUSINESS STRATEGY**
Suggested Answers
March-April 2022

**Answer to the Question # 1 (a)**

Scholars have defined the term "Strategy" in several ways. For example, Johnson, Scholes and Whittington define strategy as the direction and scope of an organization over the long-term, which achieves advantage for the organization through its configuration of resources within a changing environment, to meet the needs of markets and to fulfil stakeholders' expectations. Meanwhile, Drucker defines strategy as a theory on how to attain competitive advantages. Therefore, a strategy can be defined as the long-term direction of an organization towards its vision.

The competitive strategic business position of Building better is a product differentiator. The company differentiates its products from those of its competitors based on quality; the premium furniture. The basis of this positioning is segmenting the customers based on the accessibility. The company attained the access-based position by configuring its products, the premium quality, to reach high-end customers, a customer scale, who are willing to trade-off price for the quality of products. Although the company emphasises on cost reduction, cost leadership does not appear to be the strategic position of the company.

**Answer to the Question # 1 (b)**

The approach of strategy at Building Better is its competitive position based. The company orientate its strategy around its customers' demands. As the CEO claims, the company focuses on customers' needs by customizing the products, reducing the cost to gain a superior market position, valuing its relationship with stakeholders e.g. maintaining an effective value chain system and making efforts to secure preferential access to the resources. These characteristics at Building Better further support the idea that the company bases its strategy on its competitive position.

Although early strategy prescriptions highlighted that success hinged on the organization's ability to adapt to its environment (e.g., delighting shareholders and consumers while keeping on the right side of the authorities), the positioning approach is perceived as threatening to the sustainable success by several scholars. One of the reasons is that products have life cycle; a product that has a strong market position today will become outdated in the future. Relationships with stakeholders may not be rewarding to the company's long-term sustainability since their capabilities may alter. Furthermore, technological advancements will erase a product's cost advantage or technical superiority.

**Answer to the Question # 1 (c)**

Operational effectiveness is outperforming competitors in similar operations. It refers to any practices that allow a company to utilize its inputs better, for example, developing products faster than competitors or minimizing operational flaws to save costs. Operational effectiveness includes but is not limited to efficiency.

Operational effectiveness and strategic direction are crucial to the superior performance of any organisation, which, after all, is the primary goal of an organisation. However, they function in completely different ways. A company can outperform its competitors only by establishing and maintaining a distinct advantage. It must either deliver greater value to its customers, create comparable products at a lower value, or do both.

Differences in operational effectiveness among companies are pervasive. For example, Building Better is efficient in predicting demand, producing products, and managing warehouses to reduce costs. Such differences in operational activities are important sources of differences in profitability among competitors because they directly affect relative cost position and level of differentiation. For example, despite an identical gross profit margin (20%), the net profit margin of Building Better is 8% higher than its competitors.

This superior profitability, however, cannot be claimed as sustainable profit. For sustainable profit, operation effectiveness is not sufficient. The rapid diffusion of best practices can eliminate superior profitability from operational effectiveness. Competitors can intimate management techniques, new technologies, input improvement and superior ways of meeting customers' needs quickly. Sustainable profit can only be achieved through the proper strategic positioning- becoming different from competitors. Therefore, the claim of Mr Kumar that the operational effectiveness at Building Better has resulted in sustainable profit is not appropriate.

**Answer to the Question # 1 (d)**

**Bargaining power of buyers:**
The market is perfectively competitive, with over 70,000 businesses actively working in the industry. Almost all of them sell the same goods, thus, they have little control over the pricing. Furthermore, anyone can enter and exit from the market at any time. As a result, buyers in the market have higher bargaining power. The top tier of the market, however, has some negotiating leverage.

**Bargaining power of suppliers:**
The supply of raw materials from the domestic market has diminished due to recent reforestation efforts. As a result, furniture manufacturers have fewer options for finding appropriate supply sources. However, there are still a lot of options in the international market. Therefore, suppliers' bargaining strength is moderate.

**Threat of substitutes:**
There is no exact replacement for furniture in its entirety. Although steel or plastic furniture is available, it is not widely used enough to pose a substantial threat to the market for wood-based furniture. Therefore, the threat of substitutes is low.

**Threat of new entry:**
Due to the lack of entry barriers, the market is already congested and will become even more. The existing severe competition and tight profit margin, therefore, may not help new entrance to pose any threat to the existing market share of leading companies. However, the entry of a major brand, such as Ikea, might potentially destabilize the top category since Bangladeshi consumers are highly influenced by brand image.

**Competitive rivalry:**
The competition within the industry is very high due to a large number of companies in the market. They compete aggressively on everything- price, place, quality, etc. The potential arrival of international brands will deteriorate the condition further.

Although the furniture market in Bangladesh is growing and has immense opportunities, excessive competition will pose a real challenge for companies to achieve sustainable growth. Because of the fierce competition on price, achieving cost leadership is extremely challenging. The country's urban and large city-based market may not allow geographical positioning. The existing product differentiation strategy of Building Better, therefore, appears to be appropriate. The prevailing operational effectiveness and strategic direction of the company have the potential to achieve sustainable growth. The present superior profit margin and return on capital employed further support the argument that the company is in the right strategic direction.

**Answer to the Question # 1 (e)**

The management and coordination of an organization's environmental, social, and financial obligations to achieve responsible, ethical, and long-term performance is referred to as business sustainability. In essence, sustainable development is meeting current demands without affecting future generations' capacity to meet their own. Sustainability is a part of corporate social responsibility, but it also refers to the organization's connection with its main stakeholder groups and the community as a whole.

The sustainable business initiatives at Building Better includes the construction of solar power system to reduce the impact of traditional electricity generation on the environment, using recyclable and environmentally friendly materials, not laying-off employees despite the Covid-19 challenges. Through these initiatives, the company has responded to its commitment to the environment and society well while also laying the groundwork for long-term growth.

Despite its efforts to become a socially responsible organization, Building Better could not eliminate unethical business practices entirely. The use of hazardous chemicals endangering the workers' health. This immoral conduct is harming the company's social values. Promoting ethics helps to ensure the organization's long-term success. Due to the positive correlation between business ethics and sustainability, sustainable business initiatives of Building Better are becoming less successful.

**Answer to the Question # 2 (a)**

**SWOT analysis of BR:**

**Strength:**

Rail transport is considered as the most popular and consumer friendly mode of transport in Bangladesh. Bangladesh Railway as a cost-saving, environment friendly, comfortable and safe transport system is playing its important role in passengers and goods transportation. The demand for railway transportation is continuously increasing in Bangladesh as a densely populated country. Considering continuous increasing demand, the development and expansion of railway infrastructures gets priority areas of investment for overall development of the country. Developed rail connectivity will play its role in cheaper and easier passenger and goods transportation, increase mobilization in supplying of raw materials of production and commodities and easier marketing of produced items. Business will flourish, employment opportunities for both men and women will create, decentralization of industrialization will occur and stability will come in market price with the improvement of rail transportation.

Bangladesh Railway has around 2,877 kilometer of network which connects 44 District and almost all the important places of the country. Necessary steps have been taken to renovate existing rail tracks, purchase of locomotives, wagons and new coaches and modernization of signaling system and level crossing gates, bring reform in railway and collection of Diesel Electric Multiple Unit (DEMU). Bangladesh Railway is performing all the activities including carrying of passengers and goods by ensuring an easier, faster and safer passenger and goods transport. Bangladesh Railway is continuing its endeavor for the economic development, creation of employment opportunities and poverty alleviation for all through developing a modern, integrated, sustainable, safer and quality communication system which leads to socio-economic development of the country. Priority has been given on the development of easy and safe rail infrastructure among all other transport communication to ensure employment for all and poverty alleviation. Ministry of Railways has selected its own priority based on the policy and strategy documents which targets repair, renovation and modernize rail infrastructure, easing the internal and international rail communication, safe rail journey, ensuring the service for women and poor etc.

Bangladesh has a unique geographical location with two land-locked countries, namely Nepal and Bhutan, and one territory which is almost landlocked, namely Northeast India at its hinterland. Bangladesh is very much fortunate to have two sea ports (Chittagong and Mongla) and potential for developing a deep sea port.

Low fare: the poor and middle income group of people can make travel with a very reasonable fare.
More secure: Rail journey is more secure compared to other mode of journey
More comfortable: It is also comfortable because of space and facility of movement
Avoiding traffic Jam: Free from any traffic jam and can maintain time schedule.

**Weakness:**

Bangladesh Railway (BR) is made up of truncated portions of the erstwhile East Bengal Railway and Bengal Assam Railway, which after 1971 War of Liberation, fell in Bangladesh territory. BR has been providing the services with a network which is not suitable for and oriented to the traffic requirements of the country as it was inherited from British Indian railways with two-different gauges; meter gauge and broad gauge, and three-pockets of networks. In the process,

Except in recent days, during the past three decades, the only remarkable investment is the establishment of railway network over the Bangabandhu Bridge which provides seamless railway connectivity between East and West zone of BR. Thus, the railway system in Bangladesh, an energy efficient and a cost-effective mode of mass transport, was forced to face the uneven competition with other less sustainable modes of transport especially with road transport in a land scared over populated country like Bangladesh. Bangladesh today has an extensive road network surpassing other South Asian countries in total road density. However, the transport intensity of the Bangladesh economy is still considerably lower than that of neighboring countries in Asia.

**Problems of railway track**

Lack of qualified manpower
Lack of coordination
Lack of funding
Lack of modernisation

**Opportunities**

In order to survive as a viable mode of transport, BR must significantly improve its service quality and operational efficiency as well as establish better connectivity
by applying modern technology and practices adopted around the world.
Moreover, railway networks need multi-modal integration with road and inland water transport systems as well as improved infrastructure facilities to be able to carry more traffic efficiently. The railways in Bangladesh have the potential to play a major role in the context of regional transport and trade.

**Threat:**

Threat from the competitors: As there is no other rail operator they are not facing competition from similar operators but due improvement of road net work it is loosing passengers.
Trade union: It has strong trade union which is a barrier to operate efficiently and creating different peoblems.
Poor rail track: Rail track is very old and accident prone.
Performance and profitability: It is incurring huge operational loss every year.

**Answer to the Question # 2 (b)**

**Different forms of restructure:**

For operational independence, independent financing and improve service railways was restructured in different countries. Originally all the rail system was built as a government infrastructure and managed by a government organization. At that time profitability was not the objectives of those organizations. During eighties reform process of railway started in the developed and developing countries. Different form organizational restructure happened in the railway sector in different countries.

Privatisation: Under this option government organizations are ultimately privatized and shares are off-loaded in the stock market

Operational division by forming different entities: Under this option a big government department may be segregated into different operations like generation , distribution , transmission, etc

Forming a government own Corporation: The organization is made independent from government budget by forming an autonomous corporation. It has own budget and can use its own fund.

Forming a separate company owned by the government: Under this option a separate company is formed by registration under Companies Act. But ownership remains with the government.

**Answer to the Question # 2 (c)**

**Suitable BR restructure proposal:**

Railway can be more efficiently run if the following measures are taken on a short term basis:

i) Government have to give scope for private company to give railway service
ii) Government should pay more attention on railway sector in order to create this sector as profitable sector.
iii) Government should give more budget on railway sector for development purpose
iv) Bangladesh Railway should commercialize some of the service operations and introduce a new pricing system which should be based on market
v) Reduce the surplus and non-productive and idle workers.
vi) Have to improve the quality of service by providing well hospitality including good food, well seating arrangement ,maintaining good environment.

But in the long run it shall have to be restructured in a suitable form. Some researchers said this government form of organizations are most inefficient all over the world as no modern management techniques could be implemented in this type of organization. As they are not independent and government is providing all their expenses revenue or capital, they always wait for the government help and allocation. They should run out of their own revenue and be self reliant.

At the first step Railway should be converted into a body corporate segregating all its assets and liabilities from the government accounts. It can draw their own balance sheet and income statement. Instead of managing by the ministry it should become an autonomous body to reflect its performance.

After few years of operation it can be converted to a public limited company and at one stage government may also off-load the shares to attract private investment.

**Answer to the Question # 3 (a)**

Branding is the marketing practice of actively shaping your brand. That's the basic definition, but there is so much more that goes into it.

Branding is what your business needs to break through the clutter and grab your ideal customer's attention. It's what transforms first-time buyers into lifetime customers and turns an indifferent audience into brand evangelists. It's what you need to stand out, make an impact and take your business to the next level.

In other words, if you want your business to succeed, branding is non-negotiable.

But why, exactly, is branding so important? What does it entail? And how do you brand your business in a way that's going to have a real impact on your audience? We need to explore what branding is and how your business can reap its benefits in the most effective way.

Branding has been around since 350 A.D and is derived from the word "Brandr", meaning "to burn" in Ancient Norse language. By the 1500s, it had come to mean the mark that ranchers burned on cattle to signify ownership—a precursor of the modern logo.

Yet branding today is so much more than just a look or a logo. It has come to signify the emotional "gut feeling" reaction a company can elicit from its customers.

Your brand is the set of perceptions people have about your company. But branding is the set of actions you take to cultivate that brand.

In other words, your brand is a noun, but branding is a verb. When you design a logo, that's branding.When you develop your brand voice that's branding. You get together with your marketing team to brainstorm an ad campaign, that's branding.

Any action you take to shape your brand is, in a nutshell, branding.

Branding has three essential features:

Name: This should be legally protected, memorable and be consonant with the product itself if possible. The names of cosmetics should attached with the flowers

Livery: design, trade marks, symbols and range of visual features which should be identifiable. Brands like Toyota,Coca-cola are very recognizable.

Associates and personalities: This helps a brand distinguish a company's products from competinrproductsin the eyes of the users

As a general rule, products have limited life cycles, but brands—if managed well—last forever. And once you've nailed down exactly who you are as a brand, it becomes much easier to market it.

Brand guidelines, coupled with ongoing market research and analysis, should give a tactical advantage in determining the best way to market your products. Do you focus on traditional marketing like radio and billboard, or is your potential customer more swayed by viral You tube videos and Snapchat filters? Marketing can be a mix and match of tactics, but be careful of spreading yourself too thin. By continually consulting your brand guide, you should be able to focus your efforts on the tactics that really matter.

The one thing want to remember is that branding is a verb. It is an action. So while it might seem daunting at first—considering all of the planning, assets and personnel that go into cultivating an unforgettable brand—it is also empowering. Rather than letting others tell your story, you are speaking up with branding. At the end of the day, marketing is the process that brings you the leads and sales, but branding is the foundation upon which you build your reputation and customer loyalty.

**Answer to the Question # 3 (b)**

The concepts of brands and brand marketing have evolved over decades. Traditionally, consumers were familiar with only a few products that were available in the market. Beginning from the 1870s a number of companies began pushing 'branded products,' which familiarized consumers with more brands. From 1915 through the 1920s, manufacturer brands were established and developed further, which increased companies' reliance on brand advertising and marketing. However, the Great Depression led to a severe drawback in brand progress, as companies were left with few ways to increase revenue and get their business back on track. For the sake of their brand and survival in a hopeless market, companies such as Procter and Gamble, General Foods and Unilever developed the discipline of brand management. The "brand manager system" refers to the type of organizational structure in which brands or products are assigned to managers who are responsible for their performance.

Branding for SCL is important because it:

- **Helps SCL stand out from the competition.** It doesn't matter what kind of company you have, what industry you're in, or what type of customer you're after—if you're in business, you've got some serious competition. Branding helps you establish the ways in which you're different, special, and unique. And it shows your customers why they should work with you instead of your competitors.
- **Builds SCL's brand recognition.** If SCL wants to build a successful brand, they need to be recognizable. The right branding (including designing an impactful logo, website, and other brand assets) helps KCL carve out a distinct style, and it increases their brand recognition in the market.
- **Creates a consistent brand experience for SCL customers.**

  In order for KCL business to succeed, they need to provide a consistent experience for their customers however they interact with their brand—whether that's through their website, at an in-person event or by following your social media accounts. Branding allows them to control how people perceive and experience KCL brand and they can ensure that perception and experience stays consistent across all KCL brand touchstones.
- **Sparks a connection with your audience and turns that audience into loyal customers.** The most successful businesses are the ones that foster an emotional connection with their audience. That emotional connection is what transforms a prospect into a customer and a customer into a brand enthusiast. And how do you create and build that connection? Branding. Different branding strategies (like packing an emotional punch with your brand voice or leveraging color psychology when designing your logo) can help you connect with your audience on a deeper level and create a sense of loyalty to your brand.

The elements of SCL branding are as follows:

These are the elements of branding that SCL will need to create in order to cultivate how their business is perceived by customers:

- **Mission statement and brand values.** SCL mission statement and brand values are the foundation for their branding. Think of SCL mission as the brains of the operation—a short and succinct statement that defines the present state and purpose of their organization. Meanwhile, SCL's vision is its heart, providing an inspirational and motivational snapshot of what they seek to achieve in the long term.
- **Brand guidelines.** With the mission and vision statement set as the pillars of SCL their brand strategy comes to encompass everything in between. These guidelines are comprised into a tangibledocument that will reflect and support your business goals, differentiate you from competitors, resonate with customers, provide a template for decision-making and precipitate ideas for future marketing campaigns. It will also include all the stylistic elements of your branding, including your color palette, fonts, and an outline of your brand voice.
- **Logo.** SCL's logo is the face of the company and designing their logo is arguably the single most important branding you'll do for your business. During the design process, think about who you are as a brand and how you want to be perceived by your customers. Use that to drive your design strategy.
- **Website.** Designing SCL's website is also a key branding step. SCL website is their brand's digital real estate and when their customers visit, it should be visually engaging, easy to use, and most

important of all a reflection of who you are as a brand. Similar to their logo, refer to their branSd guide to choose their web design elements (like layout and fonts).

- **Additional assets.** There's no one-size-fits-all approach to branding. Depending on SCL business and industry, they might need additional assets like business cards, product packaging or event flyers. Assess their business and their unique needs, and then develop additional branding assets accordingly.

**Answer to the Question # 3 (c)**

Now a day, "brand ambassador" as a term has expanded beyond celebrity branding to self-branding or personal brand management. Professional figures, such as good-will and non-profit ambassadors, promotional models, testimonials and brand advocates have formed as an extension of the same concept, taking into account the requirements of every company. The term brand ambassador loosely refers to a commodity which covers all types of event staff, varying between trade show hosts, in-store promotional members and street teams. Previously, the job of a brand ambassador was undertaken typically by a celebrity or someone of a well-known presence, who was often paid considerably for their time and effort. Nowadays however, a brand ambassador can be anyone who has knowledge or can identify certain needs a brand is seeking. The fashion industry, however, still solely relies on celebrity clientele in order to remain brand ambassadors. Furthermore, brand ambassadors are considered to be the key salesperson for a product or service on offer. They must remain well-informed when it comes to the brand they are representing, due to their nature of being the go-to person when questions arise from consumers. The brand ambassador's job is to drive results through communication tools either publicly, such as social media, or privately including emails, messaging and further one-to-one channel.

Using celebrities as brand ambassadors is not a new concept. Film stars in the 1940s posed for cigarette companies, and Bob Hope pitched American Express in the late 1950s. Joe Namath slipped into Hanes pantyhose in the 1970s, and Bill Cosby jiggled for Jell-O for three decades. Sports icons like Michael Jordan and Tiger Woods elevated the practice,

Large corporations realized that the overall image of a brand ambassador within society is an integral element in attracting consumer attention. As a result, there was a substantial increase in the role of celebrities as brand ambassadors. It was assumed that integrating a celebrity to a brand would increase chances of it being sold, which made companies value the business ideal of a 'brand ambassador. It was then for the first time in 1995, that Cindy Crawford became the new face of Omega, introducing the age of the celebrity brand ambassador.

In Bangladesh, a few companies have selected brand ambassador for their products. So it is highly recommended to appointing a film star as a brand ambassador and that will be rewarding to SCL.

**Answer to the Question # 4 (a)**

| | 2019 | | 2020 | |
|---|---|---|---|---|
| | Eastern | Western | Eastern | Western |
| ROCE % | 38.0 | 41.7 | 29.3 | 26.7 |
| Staff costs/revenue % | 63.9 | 57.7 | 62.1 | 58.2 |
| Other operating costs % | 25.6 | 27.2 | 26.3 | 27.6 |
| Asset turnover | 3.6 | 2.8 | 2.5 | 1.9 |
| | | | | |
| Operating profit/revenue % | 10.6 | 15.1 | 11.6 | 14.2 |
| Depreciation 000s | 250.0 | 300.0 | 250.0 | 300.0 |
| Ops cost -depreciation/revenue % | 11.7 | 15.1 | 13.2 | 14.2 |
| Revenue per member Tk | 265 | 267 | 266 | 267 |
| Staff costs per member Tk | 169 | 154 | 165 | 155 |

In 2019 the Eastern Division generated the higher ROCE, and the Managing Director of that division would have received the bonus. The revenue for the Eastern division was lower than that of the Western Division but so was its capital employed. This is because it had a lower investment in non-current assets and its assets are older (assuming that all assets in each particular division were acquired at the same date).

Revenue at the Eastern division has fallen by 5.3% between 2019 and 2020. As revenue per member of Tk 266 has been maintained at broadly the same level during the period it can be concluded that the decline in revenue is due to the fall in number of members. The opposite is true for the Western division, as revenue has increased by 10.2% over the period. Revenues per member are in line with the Eastern division at Tk 267 and have been maintained over the period.

The operating profit has fallen over the period at the Eastern division due to a fall in revenue and also less effective cost management with operating profit margins decreasing from 11.6% to 10.6%.

Conversely, in the Western division, the operating profit margin has increased from 14.2% to 15.1%. However further information can be obtained from a deeper analysis of the figures:

• Staff expenses as a percentage of revenue have increased for the Eastern Division but decreased for the Western Division. Given that revenue is almost directly linked to the number of members it could be argued that this is to be expected given that it is highly likely that many of the staff costs are fixed.

• Operating costs as a percentage of revenue have fallen for both divisions but if depreciation is excluded it can be seen that they have increased for the Western Division. The Managing Director of the Western Division would earn the bonus in 2012

**Answer to the Question # 4 (b) (i)**

| | Year | Tk'000 | Disc factor | PV Tk'000 |
|---|---|---|---|---|
| Investment | 0 | 800 | 1.000 | -800 |
| Cash inflow | 1-5 | 234 | 3.352 | 784 |
| Sales of assets | 5 | 350 | 0.497 | 174 |
| NPV | 158 | | | |

The NPV of the project is Tk 158,000.

**Answer to the Question # 4 (b) (ii)**

The NPV of the investment is positive and therefore this investment should have been made. However, the Managing Director of the Western Division will want to earn a bonus and knows that this is determined by the ROCE of the division. Without the investment the ROCE for the Western Division would rise to 41.7% from 26.7% the previous year.

With the investment the operating profit for the Western Division would rise to Tk 519,000 and the capital employed to Tk 1,610,000. This would give a ROCE of 32.2% (Tk 519,000/Tk 1,610,000). Although this is above the 2011 figure it is significantly below what it would be if the investment was not made. Consequently, the Managing Director of the Western Division would make a decision that is not in the best interests of the group and would reject an investment that should be undertaken as it has a positive NPV.
ROCE is not an appropriate measure for several reasons: it is based on profit and will increase without any effort being made because of depreciation on the capital base and can be distorted by accounting policies. As can be seen it also focuses on the short term: the Divisional Manager focused on the immediate impact. Another major criticism of ROCE is that it ignores the time value of money.

**Answer to the Question # 4 (c)**

Total profit = 1,90,000 + 2,30,000 + 2,15,000 + 3,40,000 + 3,75,000 = 13,50,000
Average profit = 13,50,000/5
Taka 2,70,000
Reasonable return on capital employed = 12,00,000 × 20 percent
= 2,40,000
Super profits = 2,70,000 – 2,40,000
= Taka 30,000
Hence the value of goodwill will be Taka (30,000 x 3) = Taka 90,000

According to capitalized method:

Capitalized value = 2,70,000 × 100/20 = Taka 13,50,000
Goodwill = Taka 13,50,000 – ` 12,00,000 = Taka 1,50,000
Thus, three years purchase of super profits gives a lower figure as it does not take into account potential value of ` 90,000.

The capitalized value provides a valuation of Taka 1,50,000. This can be corrected by using weighted average for determining average profits with higher weights for more recent years, as the profit is showing a rising trend.
Using weights of 1, 2, 3, 4, 5 respectively for the five years –

Weighted average profit = (Taka 1,90,000 × 1 + Taka 2,30,000 ×2 + Taka 2,15,000 × 3 + Taka 3,40,000 × 4 + Taka 3,75,000 × 5) ÷ (1 + 2 + 3 + 4 + 5)
= Taka 45,30,000 ÷ 15 = Taka 3,02,000
Super profits = Taka 3,02,000 – Taka 2,40,000 = Taka 62,000
Goodwill at 3 years purchase = 3 × Taka 62,000 = Taka 1,86,000
The price of the goodwill can be negotiated between the range of Taka 90,000 and ` 1,86,000 and can approach at maximum the capitalized value of Taka 1,50,000.

**Answer to the Question # 5 (a) (i)**

YZ Auto company is a TQM compliant industry having more than 1000 employees all together. It has a quality department headed by Sr. manager and having managers, engineers, supervisors and inspection operators and altogether 100 employees in the quality department. The quality department has its sub departments in all manufacturing shop floors. Such as quality sub dept. in press shop, machine shop, polishing and assembly etc.

Quality team work towards minimising the defect part flow rate from one shop floor to the other shop floor by conducting intermittent inspection of processes, product dimensions and specifications.

The quality team of the company works towards, achieving the zero defect policy by implementing and best practicing TQM tools and techniques.

Head of the Department of quality conducts meetings with other dept. Sr. Managers and Managers about the quality improvement processes, quality tools to be utilised by the shop floor levels, the importance of quality tools and their effectiveness on the quality improvement of products and processes. He also discusses about the support and requirements if any needed by the manufacturing team to gain the skills and knowledge about the TQM tools and techniques and their practices. Head of the Department of the quality also conducts the brain storming sessions for quality improvement in all the processes starting from supplier inputs, manufacturing processes, products, policies, customer satisfaction principles and methods. In this brain storming session all the specific field experts will be participated in conducive environment to get the solid inputs to the quality improvement and quality development processes. The suggested and finalised minutes of meeting will be sent to the members of the committee and top management. After getting the feedback and suggestions from the top management the development process will be initiated by the quality department.

**Answer to the Question # 5 (a) (ii)**

**Implementing TQM Systems in any organization:**
It is true that in Bangladesh it is a new management concept. Industries should be immensely benefitted in regard to quality improvement and time savings. The following steps to be required to implement TQM:

1. Top management learns about and decides to commit to TQM. TQM is identified as one of the organization's strategies.
2. The organization assesses current culture, customer satisfaction, and quality management systems.
3. Top management identifies core values and principles to be used, and communicates them.
4. A TQM master plan is developed on the basis of steps 1, 2, and 3.
5. The organization identifies and prioritizes customer demands and aligns products and services to meet those demands.
6. Management maps the critical processes through which the organization meets its customers' needs.
7. Management oversees the formation of teams for process improvement efforts.
8. The momentum of the TQM effort is managed by the steering committee.

9. Managers contribute individually to the effort through hoshin planning, training, coaching, or other methods.
10. Daily process management and standardization take place.
11. Progress is evaluated and the plan is revised as needed.
12. Constant employee awareness and feedback on status are provided and a reward/recognition process is established.

**Answer to the Question # 5 (b)**

**5 Supply chain management best practices**

To succeed in a growing global market, you need a supply chain that's connected from start to finish, across your enterprise and beyond. Here are five steps we recommend to achieve connected supply chain planning.

**Make the move to real-time supply chain planning**

When using ERP systems and spreadsheets for planning, companies typically rely only on historical data, resulting in little wiggle room for changes should any disruptions occur in demand or supply. For example, based on the previous year's numbers, a company can estimate the number of products it will sell in the next quarter. But what if a massive hurricane destroys a key distribution center, leading to too little supply on the shelves? With Anaplan's real-time connected supply chain planning solution, you can create "what-if" scenarios and plan more effectively so you're ready when disruptions occur.

**Unify supply chain planning with enterprise planning**

A vital second step is connecting traditionally siloed supply chain planning to sales and operations planning and financial planning. Companies can benefit from synchronizing their short-term operational planning with their wider business planning processes to make real-time updates to inventory forecasts and supply. Deploying real-time S&OP solutions that enable enterprise-wide collaboration means that key stakeholders across the business can create new scenarios and quickly assess how to use their resources to optimize profitability when an unforeseen event happens.

**Anticipate the demand of the end customer**

For consumer packaged-goods companies, anticipating what customers want and when they want it is an ongoing challenge. A solution like Anaplan allows end-to-end visibility across the supply chain and beyond an existing network of wholesalers and retailers to sense demand signals from customers. When changing consumer sentiments can be rapidly identified and changes to demand for the product assessed, the company, partners, and customers benefit from improved profitability, margins, and lead time.

**Leverage real-time data across all points of the supply chain**

Because supply chain planning typically involves a myriad of suppliers, channels, customers, and pricing schemes, models can become large and potentially unwieldy—especially when spreadsheets are the primary planning tools. Incorporating a solution that uses real-time data allows planning with great accuracy and reduces the risk of stock-outs or surplus inventory.

**Ensure the flexibility to cope with change**

When technology facilitates efficient planning and quick reactions, disruptions aren't disruptive because re-planning and re-forecasting is easy—resulting in time and money saved and increased profitability.

**Answer to the Question # 6 (a)**

Sellers generally use inventive-type promotions to attract new tiers, to reward loyal customers and to increase the repurchase rates of occasional users. New tiers are of three types - users of another brand in the same category, users in other categories and frequent brand switchers. Sales promotion often attracts the brand switchers, as they are primarily looking for low price, good value or premiums. Accordingly, sales promotion

cause brand - quality - image dilution and decreasing brand loyalty. Advertising on the other hand, appears to be capable of increasing the "prime franchise" of a brand.

**Answer to the Question # 6 (b)**

The relationship between the cost of production and selling price is technically termed as cost plus pricing policy. Such a policy is inappropriate for the following reasons: This policy fails to recognize that

- Sales demand is determined by sales price.
- Profit-maximizing price is not directly related to the cost of the product.
- Product cost computation is a subjective exercise as arbitrary cost apportionments decisions are in practice.
- A firm having spare capacity might be interested to accept marginal business, but this policy leads to high prices for losing potential customers.
- This policy could lead to an upward spiral of price increases if it is undertaken regularly.
- In the early stage of PLC, unit cost of a product is high. This may not sufficiently demand for achieving the desired market share

**Answer to the Question # 6 (c)**

Product positioning starts by segmenting the market based on different benefits that each customer group seeks from the product. This can be used to identify opportunities and specify the current and desired positioning of the product or service. Product differentiation is the act of distinguishing a product from that of its competitors on one or more basic performance or image features-like design, quality, etc., Market segmentation is 'the act of dividing a market into distinct groups of buyers who might require separate products and/or marketing mixes.'

The relationship among these three concepts can possibly be expressed as under-

- The goal of product positioning is to develop a differential product (product differentiation) that creates a unique mind share, particularly in the target market segment.
- When designing the product, quality assurance is incorporated into the features that most affect the desired competitive positioning (market segment) of the product.
- Setting the price for the positioned product, by estimating how much extra quality the product will possess over and above the competition and how much the target markets' consumers are prepared to pay for this extra quality-over and above the competitor's actual selling price. To sum up, product positioning is the art of "designing the company's product and marketing mix to fit a given place in the consumers' mind."

**Answer to the Question # 6 (d)**

The Operating Turnaround Strategy emphasizes on improving internal efficiency. The environmental conditions leading to turnaround strategies usually include recessions or depressions in the economy as a whole or in industries, the firm does business in. The major approaches include:

(1) Reducing costs — e.g., lay off, voluntary retrenchments, trimming of travelling expenses of the executives, using less costly stationery etc.

(2) Increasing revenues — e.g., better investment of cash and current assets, tighter inventory, better collection of debtors, effective advertising etc.

(3) Reducing assets — e.g., selling out equipment no longer needed or those needed to implement expansion that now appears unrealistic.

(4) Reorganizing product and/or markets to achieve greater efficiency — it may be called for if many or most of the following conditions are present:

- the unit's product is in a stable or declining market.
- the unit does not provide sales stability or prestige for the firm.
- the unit's market share is small, and it would be too costly to increase that share.
- the unit does not contribute a large percentage to total sales.
- the corporation has better uses for its funds.
- the decline in sales will be more rapid than the reduction in corporate support.
- the price or availability of raw materials presents problem

**Answer to the Question # 6 (e)**

BCG Matrix was invented in the 1970s and has been used intensively by large organizations ever since. In management tools surveys today, the matrix still appears very prominently popular with well-known companies. - It is useful because of its simplicity to map key products/services within four conditions; these conditions are also aligned with the stages of a product life cycle (which in term are linked to the stages of the industry life cycle). - The two parameters, market growth and relative market share, have traditionally and long been considered key success factors for an organization's key products/services, and so it has stood the test of time. - A key problem with it is its due dependency on decisions regarding cash and availability of cash flow. Given the emphasis of more recent literature on the need to consider a balanced range of measures for an organization (such as the balanced scorecard literature), this has become an area of criticism. - A similar alternative commonly used by companies is the GE matrix: this considers the dimensions of business strengths (which is a measure of competency) and industry attractiveness (which is the market aspect), in three zones of strengths, and recommendations are offered for products/services falling within these zones. – Critical controls and control weaknesses.

---The End---